# IB Economics - Topic 4.6: Teacher and AI Grading Guide

Balance of Payments | Questions 1-50

## Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 30 questions assess SL/HL content; 20 questions are explicitly labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Credits and debits; current, capital and financial accounts and their interdependence. Exchange-rate links, persistent imbalances, remedies, Marshall-Lerner and J-curve are HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic’s numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

## Coverage blueprint

**Accounts:** Questions 1-15

**Current account:** Questions 16-25

**Financial flows:** Questions 26-30

**HL current rate:** Questions 31-32

**HL financial rate:** Questions 33-34

**HL deficit:** Questions 35-40

**HL correction:** Questions 41-44

**HL Jcurve:** Questions 45-47

**HL surplus:** Questions 48-50

# Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

## Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

## Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

## Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

## Question 1

Easy | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain what the balance of payments records over an accounting period.

**(b) [15]** Using real-world examples, discuss whether a balance-of-payments deficit means the whole account fails to balance.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 2

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain how a credit item differs from a debit item in the balance of payments.

**(b) [15]** Using real-world examples, evaluate whether every credit is necessarily good for the economy.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Credit records inflow/receipt, debit outflow/payment; value judgment depends on transaction.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Credit records inflow/receipt, debit outflow/payment; value judgment depends on transaction.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 3

Hard | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain why exports of goods enter the current account as credits.

**(b) [15]** Using real-world examples, discuss whether a goods surplus guarantees a current-account surplus.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Exports bring receipts, while services, income and transfers can offset goods balance.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Exports bring receipts, while services, income and transfers can offset goods balance.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 4

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain why imports of services enter the current account as debits.

**(b) [15]** Using real-world examples, evaluate whether importing services necessarily weakens living standards.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Residents pay abroad for services; the service may raise domestic welfare or productivity.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Residents pay abroad for services; the service may raise domestic welfare or productivity.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 5

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain the difference between the balance of trade in goods and the balance of trade in services.

**(b) [15]** Using real-world examples, discuss whether a services surplus can offset a goods deficit.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Separate net goods and services, both within the current account.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Separate net goods and services, both within the current account.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 6

Easy | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain how investment-income payments to foreign owners affect the current account.

**(b) [15]** Using real-world examples, evaluate whether foreign-owned production is harmful because profits may be remitted.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Primary income paid abroad is a debit, while FDI can bring jobs and capital.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Primary income paid abroad is a debit, while FDI can bring jobs and capital.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 7

Hard | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain how current transfers differ from earnings on cross-border investments.

**(b) [15]** Using real-world examples, discuss whether remittances must improve a country's current-account balance.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Unrequited transfers differ from primary income; inward remittances credit current transfers.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Unrequited transfers differ from primary income; inward remittances credit current transfers.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 8

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain how a capital transfer differs from a current transfer.

**(b) [15]** Using real-world examples, evaluate whether all external aid belongs in the same balance-of-payments category.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Capital transfers relate to asset ownership/investment, while current transfers are unrequited current flows.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Capital transfers relate to asset ownership/investment, while current transfers are unrequited current flows.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 9

Hard | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain what the financial account records in the balance of payments.

**(b) [15]** Using real-world examples, discuss whether capital inflows always increase productive investment.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** It records financial asset/liability transactions, which can finance many uses.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** It records financial asset/liability transactions, which can finance many uses.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 10

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain why foreign direct investment differs from portfolio investment.

**(b) [15]** Using real-world examples, evaluate whether FDI is necessarily more beneficial than portfolio inflows.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** FDI involves lasting control/influence; portfolio holdings lack such control and may be more mobile.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** FDI involves lasting control/influence; portfolio holdings lack such control and may be more mobile.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 11

Easy | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain how an inward FDI transaction can finance a current-account deficit.

**(b) [15]** Using real-world examples, discuss whether a deficit financed by FDI is always sustainable.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Foreign acquisition/investment provides financial inflow matched against net current outflow.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Foreign acquisition/investment provides financial inflow matched against net current outflow.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 12

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain why a rise in foreign reserve assets is recorded in the financial account.

**(b) [15]** Using real-world examples, evaluate whether accumulating reserves always improves economic security.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Central-bank foreign assets are cross-border financial claims; liquidity benefits involve opportunity cost.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Central-bank foreign assets are cross-border financial claims; liquidity benefits involve opportunity cost.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 13

Hard | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain how official external borrowing may appear in the financial account.

**(b) [15]** Using real-world examples, discuss whether borrowing abroad must indicate economic weakness.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** It creates a foreign liability and financing inflow; terms and use determine benefits.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** It creates a foreign liability and financing inflow; terms and use determine benefits.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 14

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain why a capital-account receipt is distinct from an ordinary export receipt.

**(b) [15]** Using real-world examples, evaluate whether both receipts improve development equally.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** An export is current production; capital transfer/non-produced asset transaction differs in timing and effects.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** An export is current production; capital transfer/non-produced asset transaction differs in timing and effects.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 15

Medium | SL/HL | 25 marks

**Topic 4.6:** Accounts

**(a) [10]** Explain why a country can run a current-account deficit and still have a balanced overall balance of payments.

**(b) [15]** Using real-world examples, discuss whether a current-account deficit is inherently a crisis.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: All cross-border transactions are recorded as credits/debits, with subaccount deficits offset elsewhere.

**Required reasoning.** Financing entries and reserve changes provide accounting offsets, though sustainability is separate.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes accounts from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Financing entries and reserve changes provide accounting offsets, though sustainability is separate.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why accounts may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 16

Easy | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain why the current account includes both goods and services trade.

**(b) [15]** Using real-world examples, evaluate whether merchandise trade alone reveals an economy's external position.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Current account also includes services, primary income and transfers.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Current account also includes services, primary income and transfers.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 17

Hard | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain how a deterioration in export earnings can widen a current-account deficit.

**(b) [15]** Using real-world examples, discuss whether falling export receipts always imply weaker competitiveness.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Lower goods/services credits worsen balance if unchanged elsewhere; global demand and prices matter.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Lower goods/services credits worsen balance if unchanged elsewhere; global demand and prices matter.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 18

Medium | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain why a fall in imports can improve the current account while reflecting a recession.

**(b) [15]** Using real-world examples, evaluate whether a narrowing deficit always signals economic strength.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Weak domestic demand may reduce debits, mechanically narrowing imbalance but lowering welfare.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Weak domestic demand may reduce debits, mechanically narrowing imbalance but lowering welfare.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 19

Hard | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain how higher income payments to overseas investors can affect the current account.

**(b) [15]** Using real-world examples, discuss whether foreign-investment success can coexist with a current-account deficit.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** More primary-income debits may follow profitable foreign-owned production.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** More primary-income debits may follow profitable foreign-owned production.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 20

Medium | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain why the current-account balance may change even when the goods trade balance is unchanged.

**(b) [15]** Using real-world examples, evaluate whether remittance inflows always dominate other account changes.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Services, primary income or transfers can move independently.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Services, primary income or transfers can move independently.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 21

Easy | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain how an increase in outward tourism spending affects the service balance.

**(b) [15]** Using real-world examples, discuss whether outbound tourism is harmful to an economy.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Residents buy foreign services, a debit, while welfare gains and return flows exist.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Residents buy foreign services, a debit, while welfare gains and return flows exist.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 22

Medium | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain how a rise in inward tourism may affect both the current account and employment.

**(b) [15]** Using real-world examples, evaluate whether tourism receipts are a stable source of foreign earnings.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Tourism services export raises credits and local demand, subject to shocks and seasonality.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Tourism services export raises credits and local demand, subject to shocks and seasonality.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 23

Hard | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain why a commodity price decline can worsen the trade balance of an export-dependent country.

**(b) [15]** Using real-world examples, discuss whether a lower export price necessarily reduces export volume.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Revenue can fall despite volume response; elasticity and market conditions matter.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Revenue can fall despite volume response; elasticity and market conditions matter.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 24

Medium | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain why a current-account surplus may reflect high saving rather than high export competitiveness.

**(b) [15]** Using real-world examples, evaluate whether a surplus is always desirable.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** A surplus can arise from restrained domestic spending/imports as well as strong exports.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** A surplus can arise from restrained domestic spending/imports as well as strong exports.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 25

Medium | SL/HL | 25 marks

**Topic 4.6:** Current account

**(a) [10]** Explain why the same deficit-to-GDP ratio can have different implications for two countries.

**(b) [15]** Using real-world examples, discuss whether external deficits should be judged only by their size.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Current account also includes services, primary income and transfers.

**Required reasoning.** Financing quality, currency liabilities and growth prospects differ.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes current account from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Financing quality, currency liabilities and growth prospects differ.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why current account may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 26

Easy | SL/HL | 25 marks

**Topic 4.6:** Financial flows

**(a) [10]** Explain how a foreign purchase of domestic bonds differs from foreign purchase of a domestic factory.

**(b) [15]** Using real-world examples, evaluate whether bond inflows are less stable than direct investment.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Required reasoning.** Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes financial flows from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why financial flows may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 27

Hard | SL/HL | 25 marks

**Topic 4.6:** Financial flows

**(a) [10]** Explain how residents' purchase of foreign assets appears as a financial outflow.

**(b) [15]** Using real-world examples, discuss whether outward investment necessarily reduces domestic growth.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Required reasoning.** Funds acquire overseas claims, but diversification and future income may benefit residents.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes financial flows from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Funds acquire overseas claims, but diversification and future income may benefit residents.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why financial flows may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 28

Medium | SL/HL | 25 marks

**Topic 4.6:** Financial flows

**(a) [10]** Explain why a current-account deficit may be financed by more than one type of capital inflow.

**(b) [15]** Using real-world examples, evaluate whether reliance on short-term portfolio finance is risky.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Required reasoning.** FDI, portfolio investment, borrowing or reserves can offset the current balance, with distinct risk.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes financial flows from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** FDI, portfolio investment, borrowing or reserves can offset the current balance, with distinct risk.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why financial flows may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 29

Hard | SL/HL | 25 marks

**Topic 4.6:** Financial flows

**(a) [10]** Explain how foreign investors selling domestic assets can affect financial-account flows.

**(b) [15]** Using real-world examples, discuss whether a reversal of capital inflows always produces an external crisis.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Required reasoning.** Selling and repatriation cause outflow; reserves and exchange-rate adjustment may absorb it.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes financial flows from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Selling and repatriation cause outflow; reserves and exchange-rate adjustment may absorb it.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why financial flows may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 30

Medium | SL/HL | 25 marks

**Topic 4.6:** Financial flows

**(a) [10]** Explain why a country's reserve holdings can change during exchange-rate intervention.

**(b) [15]** Using real-world examples, evaluate whether reserve losses can continue indefinitely.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Portfolio debt is a financial claim; FDI entails ownership/control and different reversibility.

**Required reasoning.** Defending currency by selling foreign assets reduces reserves, constrained by stock and finance.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes financial flows from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Defending currency by selling foreign assets reduces reserves, constrained by stock and finance.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why financial flows may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 31

Easy | HL | 25 marks

**Topic 4.6:** HL current rate

**(a) [10]** Using a currency-market diagram, explain how a larger current-account deficit can put depreciation pressure on a floating currency.

**(b) [15]** Using real-world examples, discuss whether a deficit always causes currency depreciation.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Net trade payments may increase currency supply relative to demand, offset by financial inflows.

**Required reasoning.** Net trade payments may increase currency supply relative to demand, offset by financial inflows.

**Expected diagram or calculation.** Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl current rate from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Net trade payments may increase currency supply relative to demand, offset by financial inflows.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl current rate may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 32

Medium | HL | 25 marks

**Topic 4.6:** HL current rate

**(a) [10]** Explain how depreciation could influence a country's trade balance over time.

**(b) [15]** Using real-world examples, evaluate whether exchange-rate adjustment automatically eliminates a deficit.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Net trade payments may increase currency supply relative to demand, offset by financial inflows.

**Required reasoning.** Relative prices change but volumes depend on elasticities and lags.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl current rate from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Relative prices change but volumes depend on elasticities and lags.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl current rate may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 33

Hard | HL | 25 marks

**Topic 4.6:** HL financial rate

**(a) [10]** Explain how a financial-account inflow can appreciate a currency despite a current-account deficit.

**(b) [15]** Using real-world examples, discuss whether financial inflows can sustainably support a currency.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Foreign asset buyers demand currency, potentially offsetting trade-related selling; reversibility matters.

**Required reasoning.** Foreign asset buyers demand currency, potentially offsetting trade-related selling; reversibility matters.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl financial rate from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Foreign asset buyers demand currency, potentially offsetting trade-related selling; reversibility matters.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl financial rate may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 34

Medium | HL | 25 marks

**Topic 4.6:** HL financial rate

**(a) [10]** Using a currency-market diagram, explain how sudden foreign portfolio outflows can affect the exchange rate.

**(b) [15]** Using real-world examples, evaluate whether a flexible exchange rate prevents all financial crises.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Foreign asset buyers demand currency, potentially offsetting trade-related selling; reversibility matters.

**Required reasoning.** Investors sell domestic currency, increasing supply; foreign debt can worsen after depreciation.

**Expected diagram or calculation.** Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl financial rate from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Investors sell domestic currency, increasing supply; foreign debt can worsen after depreciation.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl financial rate may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 35

Medium | HL | 25 marks

**Topic 4.6:** HL deficit

**(a) [10]** Explain how a persistent current-account deficit may increase foreign ownership of domestic assets.

**(b) [15]** Using real-world examples, discuss whether this is necessarily a disadvantage.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Financing via asset sales shifts ownership, while new investment may raise productivity.

**Required reasoning.** Financing via asset sales shifts ownership, while new investment may raise productivity.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl deficit from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Financing via asset sales shifts ownership, while new investment may raise productivity.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl deficit may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 36

Easy | HL | 25 marks

**Topic 4.6:** HL deficit

**(a) [10]** Explain how debt-financed external deficits can increase future income payments abroad.

**(b) [15]** Using real-world examples, evaluate whether external borrowing can remain sustainable.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Financing via asset sales shifts ownership, while new investment may raise productivity.

**Required reasoning.** Loans create future interest debits; returns on borrowed funds and GDP growth determine burden.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl deficit from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Loans create future interest debits; returns on borrowed funds and GDP growth determine burden.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl deficit may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 37

Hard | HL | 25 marks

**Topic 4.6:** HL deficit

**(a) [10]** Explain why a persistent current-account deficit may affect a country's credit rating.

**(b) [15]** Using real-world examples, discuss whether rating changes necessarily force immediate spending cuts.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Financing via asset sales shifts ownership, while new investment may raise productivity.

**Required reasoning.** Financing risk may rise if liabilities outpace repayment capacity; fundamentals matter.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl deficit from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Financing risk may rise if liabilities outpace repayment capacity; fundamentals matter.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl deficit may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 38

Medium | HL | 25 marks

**Topic 4.6:** HL deficit

**(a) [10]** Explain how an external deficit can affect domestic interest rates when foreign financing becomes scarce.

**(b) [15]** Using real-world examples, evaluate whether higher rates must restore external balance.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Financing via asset sales shifts ownership, while new investment may raise productivity.

**Required reasoning.** Attracting funds may require higher returns, but inflation and fiscal/monetary policy interact.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl deficit from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Attracting funds may require higher returns, but inflation and fiscal/monetary policy interact.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl deficit may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 39

Hard | HL | 25 marks

**Topic 4.6:** HL deficit

**(a) [10]** Explain why demand-reducing policy might narrow a current-account deficit.

**(b) [15]** Using real-world examples, discuss whether import compression is a desirable remedy.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Financing via asset sales shifts ownership, while new investment may raise productivity.

**Required reasoning.** Lower AD reduces imports but can also lower output and employment.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl deficit from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Lower AD reduces imports but can also lower output and employment.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl deficit may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 40

Medium | HL | 25 marks

**Topic 4.6:** HL deficit

**(a) [10]** Explain how a current-account deficit can be associated with high investment.

**(b) [15]** Using real-world examples, evaluate whether investment-financed deficits are preferable to consumption-financed deficits.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Financing via asset sales shifts ownership, while new investment may raise productivity.

**Required reasoning.** Domestic investment exceeding saving draws foreign finance; future returns determine sustainability.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl deficit from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Domestic investment exceeding saving draws foreign finance; future returns determine sustainability.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl deficit may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 41

Easy | HL | 25 marks

**Topic 4.6:** HL correction

**(a) [10]** Explain how expenditure-switching policies aim to change the composition of spending toward domestic goods.

**(b) [15]** Using real-world examples, evaluate whether depreciation is sufficient to correct an external deficit.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Relative-price changes may favour exports/domestic substitutes, subject to elasticities.

**Required reasoning.** Relative-price changes may favour exports/domestic substitutes, subject to elasticities.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl correction from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Relative-price changes may favour exports/domestic substitutes, subject to elasticities.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl correction may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 42

Medium | HL | 25 marks

**Topic 4.6:** HL correction

**(a) [10]** Explain how expenditure-reducing policies aim to reduce import demand.

**(b) [15]** Using real-world examples, discuss whether austerity is a suitable response to a persistent deficit.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Relative-price changes may favour exports/domestic substitutes, subject to elasticities.

**Required reasoning.** Lower national income reduces imports, with unemployment and welfare costs.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl correction from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Lower national income reduces imports, with unemployment and welfare costs.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl correction may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 43

Hard | HL | 25 marks

**Topic 4.6:** HL correction

**(a) [10]** Explain how supply-side policies can improve external competitiveness.

**(b) [15]** Using real-world examples, evaluate whether productivity reforms can correct a current-account deficit quickly.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Relative-price changes may favour exports/domestic substitutes, subject to elasticities.

**Required reasoning.** Lower unit costs and higher quality aid exports over time, requiring investment and institutions.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl correction from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Lower unit costs and higher quality aid exports over time, requiring investment and institutions.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl correction may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 44

Medium | HL | 25 marks

**Topic 4.6:** HL correction

**(a) [10]** Explain why tariff protection may reduce selected imports without improving the whole current account.

**(b) [15]** Using real-world examples, discuss whether import controls are a durable external adjustment strategy.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Relative-price changes may favour exports/domestic substitutes, subject to elasticities.

**Required reasoning.** Input costs, retaliation and exchange-rate effects can offset import savings.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl correction from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Input costs, retaliation and exchange-rate effects can offset import savings.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl correction may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 45

Medium | HL | 25 marks

**Topic 4.6:** HL Jcurve

**(a) [10]** Using a J-curve diagram, explain why depreciation may initially worsen the current account.

**(b) [15]** Using real-world examples, evaluate whether the J-curve must occur after every depreciation.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Contracts and inelastic short-run volumes create adverse value effect before quantities adjust.

**Required reasoning.** Contracts and inelastic short-run volumes create adverse value effect before quantities adjust.

**Expected diagram or calculation.** Time horizontally and current-account/trade balance vertically. Mark the moment of depreciation, an initial deterioration and subsequent recovery, with the zero-balance line if relevant. Explain slow quantity response and, for long-run improvement, the Marshall-Lerner sum of absolute export and import demand elasticities greater than one.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl jcurve from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Contracts and inelastic short-run volumes create adverse value effect before quantities adjust.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl jcurve may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 46

Easy | HL | 25 marks

**Topic 4.6:** HL Jcurve

**(a) [10]** Explain the Marshall-Lerner condition for depreciation to improve the trade balance after adjustment.

**(b) [15]** Using real-world examples, discuss whether this condition is sufficient to forecast the immediate balance.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Contracts and inelastic short-run volumes create adverse value effect before quantities adjust.

**Required reasoning.** Sum of absolute import and export demand elasticities exceeding one supports improvement, holding other factors constant.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl jcurve from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Sum of absolute import and export demand elasticities exceeding one supports improvement, holding other factors constant.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl jcurve may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 47

Hard | HL | 25 marks

**Topic 4.6:** HL Jcurve

**(a) [10]** Using a J-curve diagram, explain how the current-account balance may recover after an initial deterioration.

**(b) [15]** Using real-world examples, evaluate whether longer-run adjustment is guaranteed.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Contracts and inelastic short-run volumes create adverse value effect before quantities adjust.

**Required reasoning.** Quantity response may gradually dominate price effects if elasticities and supply permit.

**Expected diagram or calculation.** Time horizontally and current-account/trade balance vertically. Mark the moment of depreciation, an initial deterioration and subsequent recovery, with the zero-balance line if relevant. Explain slow quantity response and, for long-run improvement, the Marshall-Lerner sum of absolute export and import demand elasticities greater than one.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl jcurve from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Quantity response may gradually dominate price effects if elasticities and supply permit.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl jcurve may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 48

Medium | HL | 25 marks

**Topic 4.6:** HL surplus

**(a) [10]** Explain how a persistent current-account surplus can affect a country's exchange rate.

**(b) [15]** Using real-world examples, discuss whether surplus countries should welcome appreciation.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Trade receipts can raise currency demand, threatening future export competitiveness.

**Required reasoning.** Trade receipts can raise currency demand, threatening future export competitiveness.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl surplus from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Trade receipts can raise currency demand, threatening future export competitiveness.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl surplus may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 49

Hard | HL | 25 marks

**Topic 4.6:** HL surplus

**(a) [10]** Explain why a current-account surplus can coexist with weak domestic consumption.

**(b) [15]** Using real-world examples, evaluate whether a surplus necessarily raises living standards.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Trade receipts can raise currency demand, threatening future export competitiveness.

**Required reasoning.** High saving and restrained imports can leave domestic demand low despite external earnings.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl surplus from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** High saving and restrained imports can leave domestic demand low despite external earnings.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl surplus may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

## Question 50

Medium | HL | 25 marks

**Topic 4.6:** HL surplus

**(a) [10]** Explain how sustained surpluses may affect inflation and employment in export industries.

**(b) [15]** Using real-world examples, discuss whether surplus reduction is always desirable.

## Part (a) - Indicative answer and marking guidance

**Essential concepts.** External transactions are recorded in current, capital and financial accounts with offsetting entries; financing quality and adjustment conditions determine sustainability. Specifically: Trade receipts can raise currency demand, threatening future export competitiveness.

**Required reasoning.** Export demand can support jobs and AD, possibly raising price pressure near capacity.

**Expected diagram or calculation.** If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

**Common misconceptions.** Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl surplus from nearby concepts and does not reverse the stated causal relationship.

**Acceptable alternatives.** Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

## Part (b) - Indicative answer and marking guidance

**Main argument.** Export demand can support jobs and AD, possibly raising price pressure near capacity.

**Counterargument and conditions.** Accounting financing is not the same as sustainable financing; capital flows and exchange rates may offset or amplify current-account changes. For this focus, consider why hl surplus may have a different effect across countries.

**Application and real-world example.** IMF Balance of Payments statistics distinguish the current, capital and financial accounts for a named country and year; avoid treating a deficit as causal proof. Credit any accurate alternative example.

**Evaluation and judgment.** A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

# Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

**IB guide.** Current Economics guide, Unit 4 Topic 4.6; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

**IMF.** Balance of Payments dataset and account classifications.

Open source

## Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 30 questions assess SL/HL content; 20 questions are explicitly labelled HL. The student paper contains no answers or difficulty labels.